



Inheritance Tax & Trusts

Inheritance Tax Allowances

The Nil Rate Band: £325,000

The Residence Nil Rate Band: £175,000

- Married couples can 'double' up their total inheritance tax allowances to a maximum of £1m.
- Any excess is subject to inheritance tax, (40%).



How You Can Avoid Inheritance Tax



Make gifts
to family and
loved ones



Take out a life
assurance policy
to cover the
tax bill



Utilise Business
Relief /
Replacement
Relief



Shelter assets
within tax-
efficient
investments



Move assets
into a trust



The Use of Trusts

- There are several different types of Trust available
- Each has their own features, benefits and tax treatment
- Can provide tax-efficiency, flexibility and access to funds
- Choosing the right Trust is key
- Bespoke advice is required



The 'best of both worlds'



What if you can afford to give assets away to save inheritance tax...



...but you require flexibility to access the capital?



We have Trusts available to help you achieve both of these objectives



Flexible Trusts – Key Benefits

- Retain access and control of your money
- Can draw regular income or make lump sum withdrawals
- All growth immediately exempt from inheritance tax
- No inheritance tax liability after 7 years in Trust
- Protection against the risk of care home fees



Trust Comparison - Features & Benefits

	Standard Trusts		Bespoke Flexible Trusts		
	Absolute Trust	Discretionary Trust	Discounted Gift Trust	Reversionary Interest Trust	Loan Trust
Can the Settlor Retain Access to Capital / Income?	✗	✗ (GWROB)	✓ (Income)	✓ (Entitlement: upto 10% p.a.)	✓ (Full access to original capital)
Is the Trust IHT Efficient?	✓	✓ (Settlor excluded)	✓	✓	✓
Is income / growth achieved IHT Tax-Efficient?	✗ (Up to 45%)	✗ (Up to 45%)	✓	✓	✓
Is some IHT relief available in less than 7 years?	✓	✗	✓	✓	✓
Exempt from Entry Charge and Periodic Tax Charge?	✓	✓ (< £325k)	✓ (Bare Version)	✓ (< £325k)	✓ (Bare Version)
100% Protection under the Financial Services Compensation Scheme?	✗ (< £85k)	✗ (< £85k)	✓	✓	✓



Blending Access, Flexibility & Inheritance Tax Efficiently



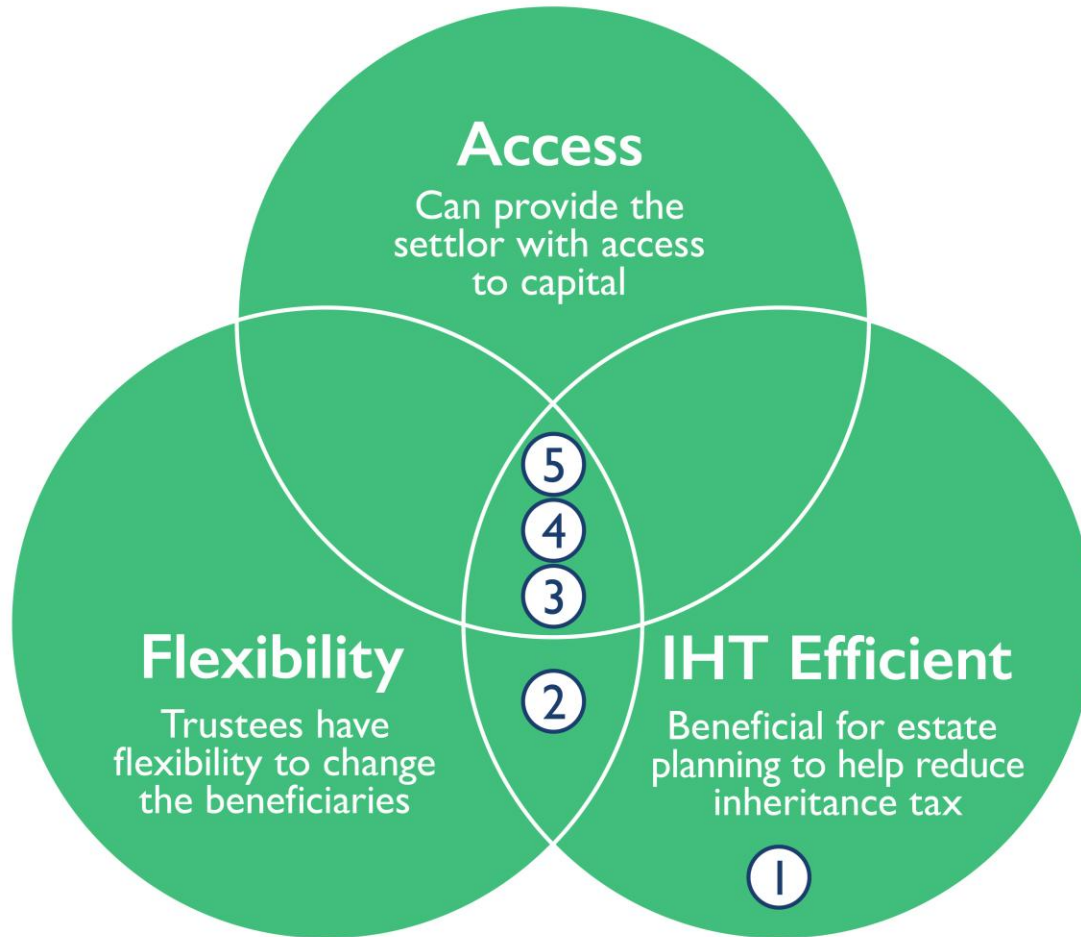
Can provide the settlor with access to capital

Trustees have flexibility to change the beneficiaries

Beneficial for estate planning to help reduce inheritance tax



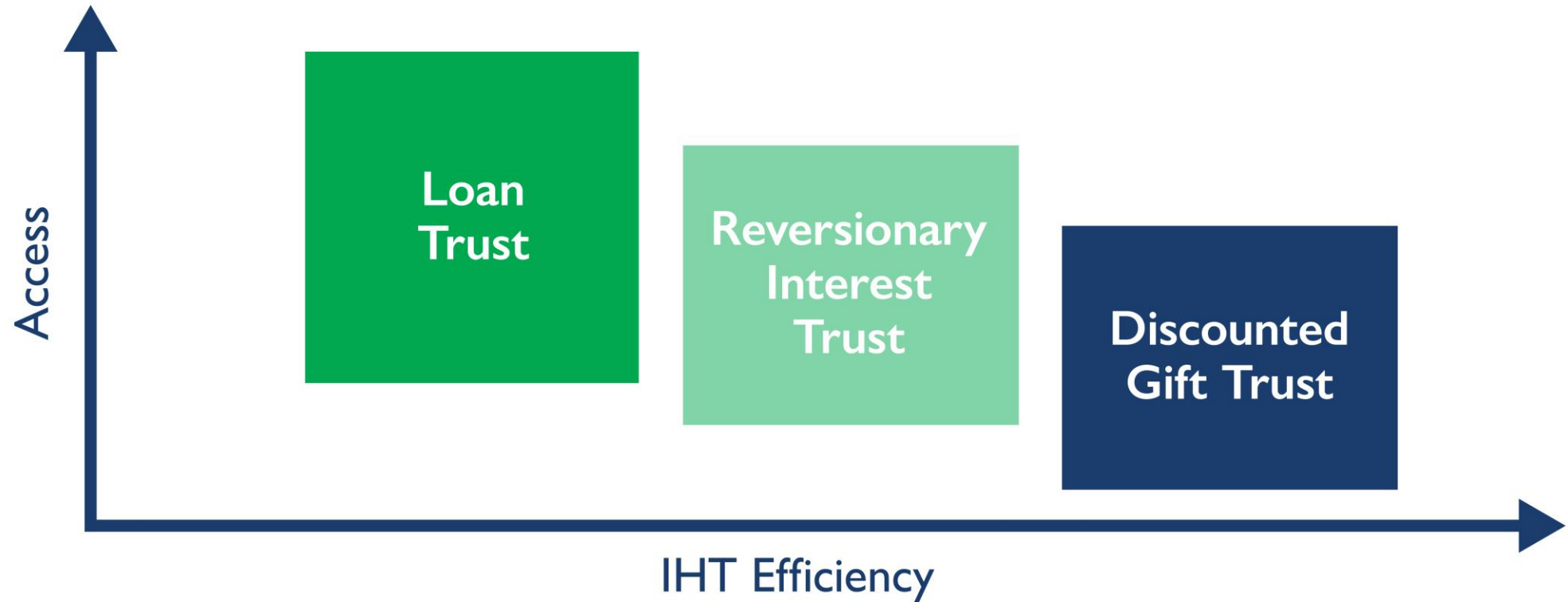
Inheritance Tax Planning - Trust Options



1. Absolute Trust
2. Discretionary Trust
3. Discounted Gift Trust
4. Reversionary Interest Trust
5. Loan Trust



Achieving the right balance - Access and IHT Efficiency:



Loan Trust

- Annual income and growth not subject to tax
- Can make partial / full withdrawals with no liability to tax
- All growth immediately exempt from inheritance tax
- Original loan remains part of the estate for inheritance tax
- No annual reporting to HMRC



Reversionary Interest Trust

- Annual income and growth not subject to tax
- Entitlement to tax-efficient withdrawals (up to 10% p.a.)
- If not taken, entitlements can be 'rolled up'
- All growth immediately exempt from inheritance tax
- No annual reporting to HMRC



Discounted Gift Trust

- Settlor receives fixed regular payments (discounted from IHT)
- Regular payments up to 5% p.a. are free from income tax
- Growth is free of capital gains tax
- All growth is immediately exempt from inheritance tax
- No annual reporting to HMRC



Inheritance Tax Advice

Inheritance Tax Planning Advice

- We are completely independent and impartial
- Research of the whole marketplace
- Access to the UK's leading Trust Providers
- All options considered
- Best Advice provided and guaranteed



Tailored To You

- There is no 'one size fits all' solution
- Subject to individual circumstances and needs
- A full tax and financial planning review is recommended
- Requires holistic advice and a bespoke solution
- We provide ongoing guidance, advice and support



Advice Guarantee

- The independent financial advice we provide is fully guaranteed by New Leaf Distribution Ltd.
- We also carry professional indemnity insurance with a maximum claims limit of £2m per claim.



Important Information

Castle Financial Planning is an Appointed Representative of New Leaf Distribution Ltd, who are authorised and regulated by the Financial Conduct Authority: Reference No. 460421. Company registration Number 5520001.

Our services relate to certain investments whose prices are dependent on fluctuations in the financial markets beyond our control. Investments and the income from them may go down as well as up and you may get back less than the amount invested. Past performance cannot be used as a reliable prediction of future performance.

